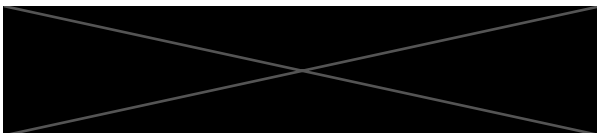




Prepared by:



Prepared for:

Dennis S and Fran S
Wednesday, February 19, 2025

SOCIAL SECURITY CALCULATION ASSUMPTIONS

	Client	Spouse
Name	Dennis	Fran
Date of Birth	1/4/1969	7/4/1962

Assumed Inflation	2.4%
Real Rate of Return	1.6%

Basic Income Need	\$0
Survivor Need	\$0

ESTIMATED MONTHLY BENEFITS

Age	62	63	64	65	66	67	68	69	70
Dennis	\$1,262	\$1,377	\$1,504	\$1,668	\$1,840	\$2,018	\$2,232	\$2,455	\$2,687
Fran	\$914	\$998	\$1,090	\$1,209	\$1,333	\$1,463	\$1,618	\$1,779	\$1,948

WHY ARE THE ESTIMATED BENEFITS DIFFERENT FROM MY SOCIAL SECURITY STATEMENT?

Your Social Security statement makes certain assumptions that differ from the assumptions we make in preparing your analysis.

First, Social Security assumes that the average wages will not increase in the future. Average wage statistics are used to index your past earnings to equal today's dollars, and to adjust formulas in the benefit calculation. We assume that the average wage will increase at the same pace as inflation, and we adjust your earnings as well as the formulas for future election years based on this assumption.

Second, your Social Security Statement does not include Cost-of-Living Adjustment (COLA). Historically, cost of living adjustments have occurred regularly, and a recent Social Security Trustees report (<https://www.ssa.gov/oact/tr/2024/>) assumes long term COLA to be between 1.8% and 3.0% per year with the most likely average being 2.4% per year. The benefit amounts above include COLA based on the 2.40% inflation assumption per year that you entered.

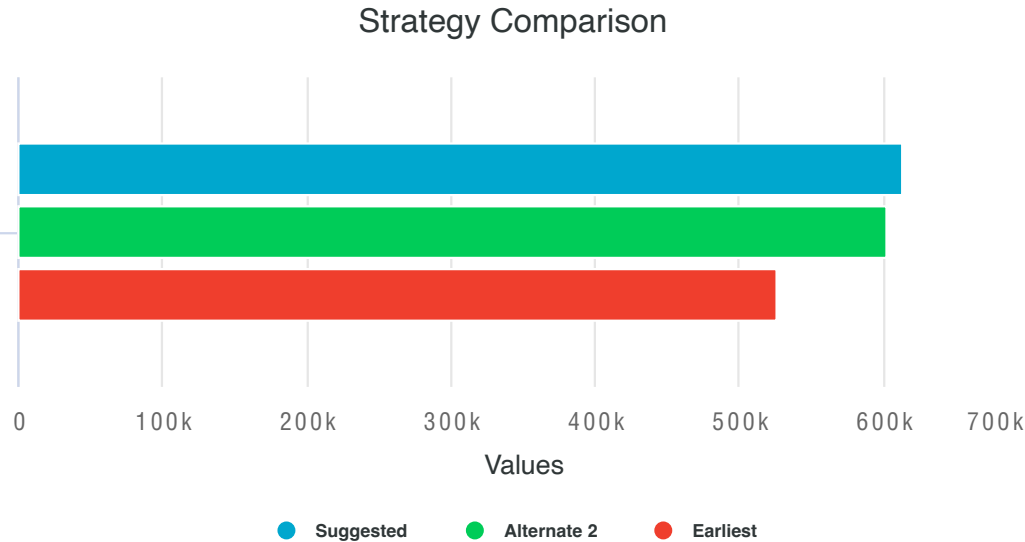
The raw dollar amount of your future benefit is of interest to most of our clients, and as a result, we present that information above and through this report when potential benefit amounts are referenced. As a result, the monthly benefit amounts above and through the remainder of this report represent your benefits in future dollars. We have taken substantial care to utilize the lifetime values of different benefit elections in today's dollars, using a real rate of return of 1.6%. Lifetime benefit values throughout this report represent the present value of benefits based on the estimated cash flows on the respective strategy cashflow tables. Cashflow tables are annual cash flows. "Strategy" in this report is used to denote a set of Social Security claiming ages and techniques, not an investment strategy.

SOCIAL SECURITY STRATEGY COMPARISON

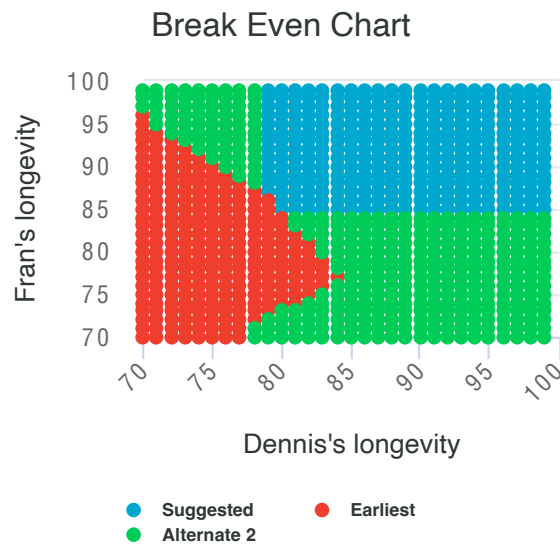
The expected lifetime family benefit for the suggested strategy is: \$613,375.

The expected lifetime family benefit for the second alternate strategy is: \$602,095.

The expected lifetime family benefit for the earliest strategy is: \$526,125.



This graph represents present value of lifetime family benefits. The preceding chart and comparisons assume that Dennis dies at age 89 and Fran dies at age 90.



This graph illustrates which of the outlined strategies provides the best outcome at any given set of whole year death age combinations. Break even points occur at combinations where the strategy offering the best outcome changes. The suggested strategy was determined by assuming Dennis dies at age 89 and Fran dies at age 90.

STRATEGY DETAIL: SUGGESTED SOCIAL SECURITY STRATEGY

APRIL 2032

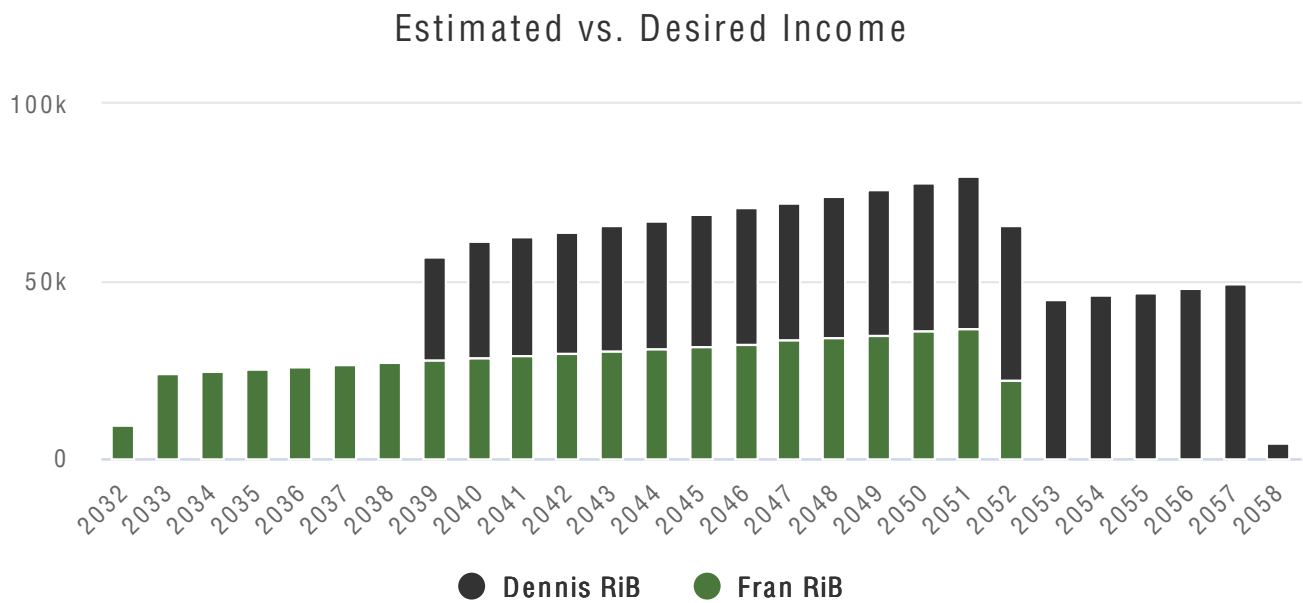
- Fran files a standard application for benefits requesting a month of election of July 2032 at 70. Fran's first check would be received in August 2032 for approximately \$1,948.

OCTOBER 2038

- Dennis files a standard application for benefits requesting a month of election of January 2039 at 70. Dennis's first check would be received in February 2039 for approximately \$2,687.

The expected lifetime family benefit using this strategy is: \$613,375.

USING THE SUGGESTED ELECTION AGES



The preceding charts demonstrate future value cash flows using the assumptions outlined on the assumptions page of this report, and do not include taxes or any other source of income. The desired income line is generated based on user input and inflated for future value using the same inflation assumptions.

STRATEGY DETAIL: SUGGESTED SOCIAL SECURITY STRATEGY ESTIMATED CASH FLOWS

Dennis:

Combined Benefit Breakdown Net Present Value

Retirement	Spousal	Widow
\$308,414	\$0	\$0

Fran:

Combined Benefit Breakdown Net Present Value

Retirement	Spousal	Widow
\$304,961	\$0	\$0

SUGGESTED STRATEGY: EXPECTED CASH FLOW FUTURE VALUES

	Dennis		Fran		Summary
Year	Age	RiB	Age	RiB	Total
2022	53	-	60	-	-
2023	54	-	61	-	-
2024	55	-	62	-	-
2025	56	-	63	-	-
2026	57	-	64	-	-
2027	58	-	65	-	-
2028	59	-	66	-	-
2029	60	-	67	-	-
2030	61	-	68	-	-
2031	62	-	69	-	-
2032	63	-	70	\$9,740	\$9,740
2033	64	-	71	\$23,928	\$23,928
2034	65	-	72	\$24,504	\$24,504
2035	66	-	73	\$25,092	\$25,092
2036	67	-	74	\$25,692	\$25,692
2037	68	-	75	\$26,316	\$26,316
2038	69	-	76	\$26,940	\$26,940
2039	70	\$29,557	77	\$27,588	\$57,145
2040	71	\$33,024	78	\$28,248	\$61,272
2041	72	\$33,816	79	\$28,932	\$62,748
2042	73	\$34,620	80	\$29,616	\$64,236
2043	74	\$35,460	81	\$30,324	\$65,784

SUGGESTED STRATEGY: EXPECTED CASH FLOW FUTURE VALUES

	Dennis		Fran		Summary
Year	Age	RiB	Age	RiB	Total
2044	75	\$36,300	82	\$31,056	\$67,356
2045	76	\$37,176	83	\$31,800	\$68,976
2046	77	\$38,064	84	\$32,568	\$70,632
2047	78	\$38,976	85	\$33,348	\$72,324
2048	79	\$39,912	86	\$34,152	\$74,064
2049	80	\$40,872	87	\$34,968	\$75,840
2050	81	\$41,856	88	\$35,808	\$77,664
2051	82	\$42,852	89	\$36,660	\$79,512
2052	83	\$43,884	90	\$21,903	\$65,787
2053	84	\$44,940	91	-	\$44,940
2054	85	\$46,020	92	-	\$46,020
2055	86	\$47,124	93	-	\$47,124
2056	87	\$48,252	94	-	\$48,252
2057	88	\$49,404	95	-	\$49,404
2058	89	\$4,216	96	-	\$4,216
		\$766,325		\$599,183	\$1,365,508

STRATEGY DETAIL: SECOND ALTERNATE SOCIAL SECURITY STRATEGY

OCTOBER 2029

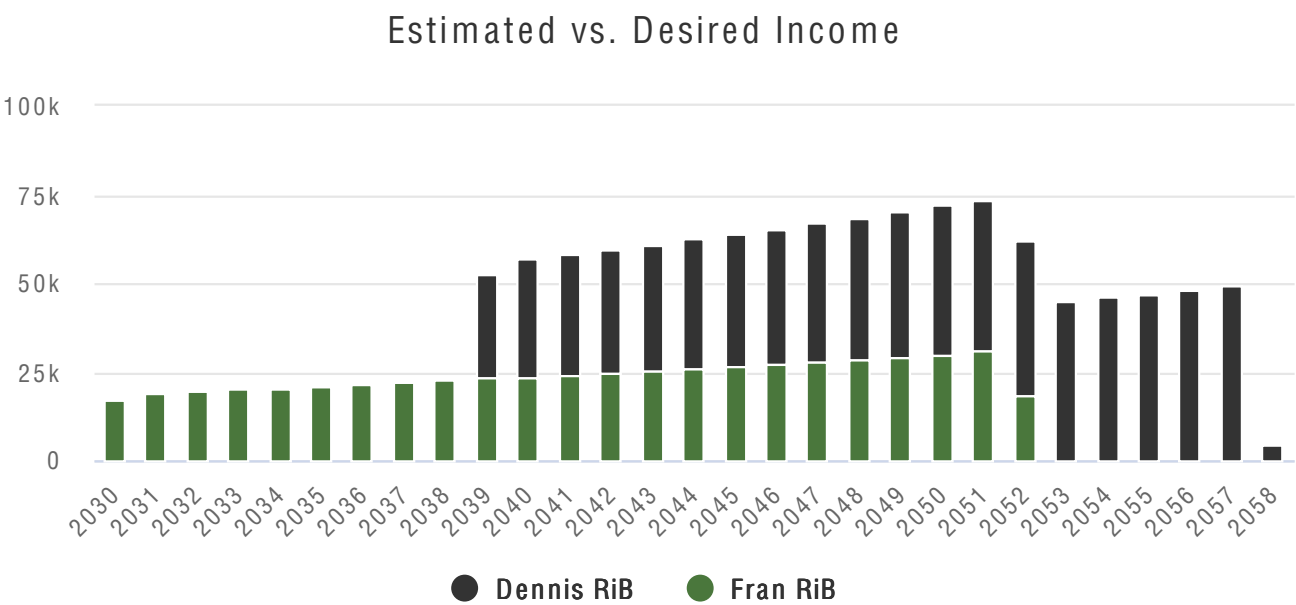
- Fran files a standard application for benefits requesting a month of election of January 2030 at 67 and 6 months. Fran's first check would be received in February 2030 for approximately \$1,558.

OCTOBER 2038

- Dennis files a standard application for benefits requesting a month of election of January 2039 at 70. Dennis's first check would be received in February 2039 for approximately \$2,687.

The expected lifetime family benefit using this strategy is: \$602,095.

USING THE SECOND ALTERNATE ELECTION AGES



The preceding charts demonstrate future value cash flows using the assumptions outlined on the assumptions page of this report, and do not include taxes or any other source of income. The desired income line is generated based on user input and inflated for future value using the same inflation assumptions.

STRATEGY DETAIL: SECOND ALTERNATE SOCIAL SECURITY STRATEGY ESTIMATED CASH FLOWS

Dennis:

Combined Benefit Breakdown Net Present Value

Retirement	Spousal	Widow
\$308,414	\$0	\$0

Fran:

Combined Benefit Breakdown Net Present Value

Retirement	Spousal	Widow
\$293,681	\$0	\$0

SECOND ALTERNATE STRATEGY: EXPECTED CASH FLOW FUTURE VALUES

	Dennis		Fran		Summary
Year	Age	RiB	Age	RiB	Total
2022	53	-	60	-	-
2023	54	-	61	-	-
2024	55	-	62	-	-
2025	56	-	63	-	-
2026	57	-	64	-	-
2027	58	-	65	-	-
2028	59	-	66	-	-
2029	60	-	67	-	-
2030	61	-	68	\$17,138	\$17,138
2031	62	-	69	\$19,140	\$19,140
2032	63	-	70	\$19,596	\$19,596
2033	64	-	71	\$20,076	\$20,076
2034	65	-	72	\$20,556	\$20,556
2035	66	-	73	\$21,048	\$21,048
2036	67	-	74	\$21,552	\$21,552
2037	68	-	75	\$22,068	\$22,068
2038	69	-	76	\$22,596	\$22,596
2039	70	\$29,557	77	\$23,136	\$52,693
2040	71	\$33,024	78	\$23,688	\$56,712
2041	72	\$33,816	79	\$24,264	\$58,080
2042	73	\$34,620	80	\$24,840	\$59,460
2043	74	\$35,460	81	\$25,440	\$60,900

SECOND ALTERNATE STRATEGY: EXPECTED CASH FLOW FUTURE VALUES

	Dennis		Fran		Summary
Year	Age	RiB	Age	RiB	Total
2044	75	\$36,300	82	\$26,052	\$62,352
2045	76	\$37,176	83	\$26,676	\$63,852
2046	77	\$38,064	84	\$27,312	\$65,376
2047	78	\$38,976	85	\$27,972	\$66,948
2048	79	\$39,912	86	\$28,644	\$68,556
2049	80	\$40,872	87	\$29,328	\$70,200
2050	81	\$41,856	88	\$30,024	\$71,880
2051	82	\$42,852	89	\$30,744	\$73,596
2052	83	\$43,884	90	\$18,368	\$62,252
2053	84	\$44,940	91	-	\$44,940
2054	85	\$46,020	92	-	\$46,020
2055	86	\$47,124	93	-	\$47,124
2056	87	\$48,252	94	-	\$48,252
2057	88	\$49,404	95	-	\$49,404
2058	89	\$4,216	96	-	\$4,216
		\$766,325		\$550,258	\$1,316,583

STRATEGY DETAIL: EARLIEST SOCIAL SECURITY STRATEGY

FEBRUARY 2025

- Fran files a standard application for benefits requesting a month of election of February 2025 at 62 and 7 months. Fran's first check would be received in March 2025 for approximately \$970.

NOVEMBER 2030

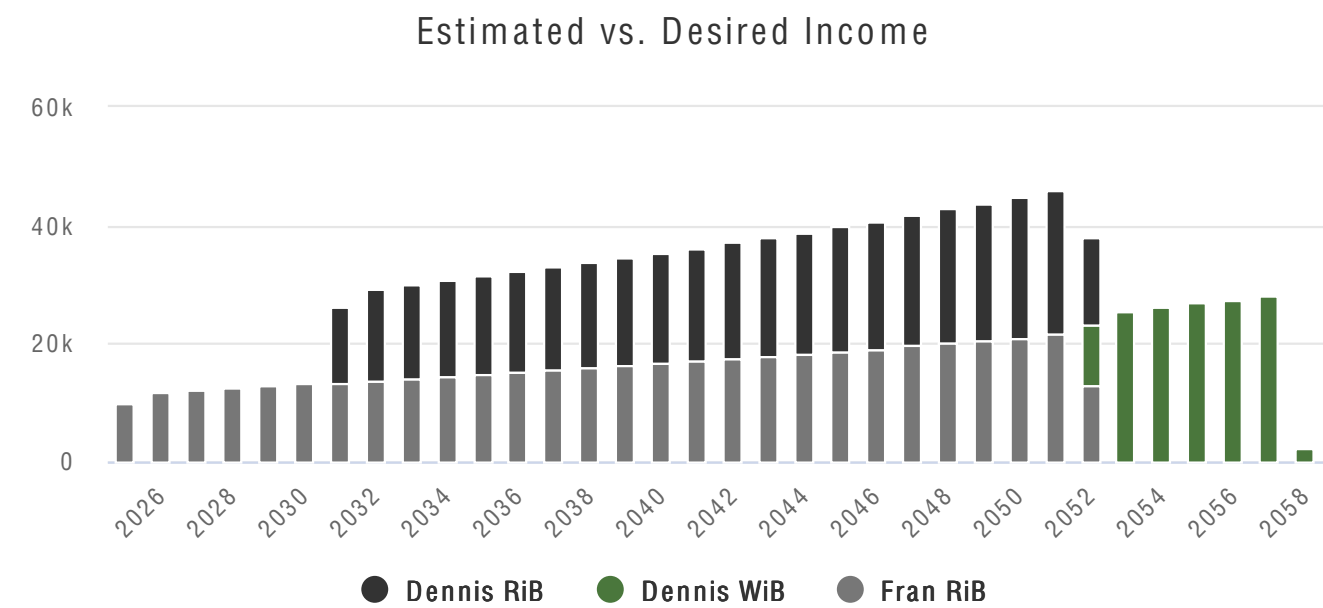
- Dennis files a standard application for benefits requesting a month of election of February 2031 at 62 and 1 month. Dennis's first check would be received in March 2031 for approximately \$1,262.

JULY 2052

- Dennis files a standard application for Widow(er)'s benefits requesting a month of election of July 2052 at 83 and 6 months. Dennis's first check would be received in August 2052 for approximately \$2,081.

The expected lifetime family benefit using this strategy is: \$526,125.

USING THE EARLIEST ELECTION AGES



The preceding charts demonstrate future value cash flows using the assumptions outlined on the assumptions page of this report, and do not include taxes or any other source of income. The desired income line is generated based on user input and inflated for future value using the same inflation assumptions.

STRATEGY DETAIL: EARLIEST SOCIAL SECURITY STRATEGY ESTIMATED CASH FLOWS

Dennis:

Combined Benefit Breakdown Net Present Value

Retirement	Spousal	Widow
\$219,265	\$0	\$45,613

Fran:

Combined Benefit Breakdown Net Present Value

Retirement	Spousal	Widow
\$261,247	\$0	\$0

EARLIEST STRATEGY: EXPECTED CASH FLOW FUTURE VALUES

	Dennis			Fran		Summary
Year	Age	RiB	Widow	Age	RiB	Total
2022	53	-	-	60	-	-
2023	54	-	-	61	-	-
2024	55	-	-	62	-	-
2025	56	-	-	63	\$9,700	\$9,700
2026	57	-	-	64	\$11,916	\$11,916
2027	58	-	-	65	\$12,204	\$12,204
2028	59	-	-	66	\$12,492	\$12,492
2029	60	-	-	67	\$12,792	\$12,792
2030	61	-	-	68	\$13,104	\$13,104
2031	62	\$12,620	-	69	\$13,416	\$26,036
2032	63	\$15,516	-	70	\$13,740	\$29,256
2033	64	\$15,888	-	71	\$14,076	\$29,964
2034	65	\$16,260	-	72	\$14,412	\$30,672
2035	66	\$16,656	-	73	\$14,748	\$31,404
2036	67	\$17,052	-	74	\$15,108	\$32,160
2037	68	\$17,460	-	75	\$15,468	\$32,928
2038	69	\$17,880	-	76	\$15,840	\$33,720
2039	70	\$18,312	-	77	\$16,224	\$34,536
2040	71	\$18,756	-	78	\$16,608	\$35,364
2041	72	\$19,200	-	79	\$17,004	\$36,204
2042	73	\$19,656	-	80	\$17,412	\$37,068
2043	74	\$20,136	-	81	\$17,832	\$37,968

EARLIEST STRATEGY: EXPECTED CASH FLOW FUTURE VALUES

	Dennis			Fran		Summary
Year	Age	RiB	Widow	Age	RiB	Total
2044	75	\$20,616	-	82	\$18,264	\$38,880
2045	76	\$21,108	-	83	\$18,696	\$39,804
2046	77	\$21,612	-	84	\$19,152	\$40,764
2047	78	\$22,128	-	85	\$19,608	\$41,736
2048	79	\$22,668	-	86	\$20,076	\$42,744
2049	80	\$23,208	-	87	\$20,556	\$43,764
2050	81	\$23,760	-	88	\$21,048	\$44,808
2051	82	\$24,336	-	89	\$21,552	\$45,888
2052	83	\$14,539	\$10,405	90	\$12,873	\$37,817
2053	84	-	\$25,572	91	-	\$25,572
2054	85	-	\$26,184	92	-	\$26,184
2055	86	-	\$26,820	93	-	\$26,820
2056	87	-	\$27,456	94	-	\$27,456
2057	88	-	\$28,116	95	-	\$28,116
2058	89	-	\$2,399	96	-	\$2,399
		\$419,367	\$146,952		\$445,921	\$1,012,240

SPECIAL SOCIAL SECURITY CONCEPTS: MARRIED COUPLES

Social Security offers three distinct types of benefits for retired workers and/or their spouses:

1. Retirement benefit, which is based on his or her own earnings record;
2. Auxiliary benefit, which provides a worker's spouse or children with a benefit once the worker has claimed his own benefit; and
3. Survivor benefit, which provides a surviving spouse or certain other dependents with a benefit after a worker's death.

After the passage of the Bipartisan Budget Act of 2015 (BBA), some previously available claiming strategies were modified or eliminated. This report incorporates those rules and evaluates the remaining available claiming strategies for your consideration. In general, strong claiming strategies for couples will work to intentionally maximize each of the three types of benefits.

Retired Worker Benefit – Retirement benefits may be available as early as age 62. Your benefit amount is calculated based on a formula that incorporates your highest 35 years of earnings. If you claim benefits at Full Retirement Age (FRA), which varies from 66 to 67 based on your year of birth, you will receive your full benefit, which is known as your Primary Insurance Amount (PIA). If you claim early, you will receive a reduced benefit and if you delay, your benefit will be increased by 8% per year (pro-rated by months) of delay up to age 70.

Auxiliary Benefit – The most common auxiliary benefit for a married couple is the spousal benefit. Spousal benefits are generally available to the spouse of a worker who has been married to the worker for at least one year. The worker must either be receiving a retirement benefit or have suspended a retirement benefit on or before April 29, 2016. The amount of the spousal benefit is 50% of the worker's PIA if claimed at FRA. Spousal benefits are reduced if claimed prior to FRA, but do not increase if delayed past FRA. When an individual is simultaneously entitled to both a spousal benefit and a retirement benefit, the spousal benefit is reduced by the greater of the retirement benefit or if a reduced retirement benefit is taken, the PIA.

Survivor Benefit – The survivor benefit is unique in that it is based both on when the deceased filed for benefits and when the surviving spouse claims benefits. For example, if a higher wage-earning spouse elects early, then dies, the spouse will be faced with a permanently reduced survivor benefit, regardless of when they claims. If the higher wage-earner delays claiming retirement benefits, the available survivor benefit is also increased.

Restricted Application for Spousal Benefits – Prior to the BBA, any program participant who had reached FRA and was eligible for both his own retirement benefit and a spousal benefit could “restrict the application” to only spousal benefits. By restricting the application to only spousal benefits, entitlement to retirement benefits was avoided. After claiming an unreduced spousal benefit only for a period of time, the participant could switch to the retirement benefit, which had been growing by 8% per year. After the BBA, this option is available only to people born on or before January 1, 1954.

THE RETIREMENT EARNINGS TEST

How does work affect Social Security?

You are able to work and receive Social Security retirement, spousal, or survivor's benefits. However, you may be subject to a reduction in benefits if you haven't attained full retirement age.

The Social Security Administration (SSA) will withhold benefits during the year in which you work assuming that you provide an estimate to the Social Security office about your expected earnings. If you do not report estimated earnings, the SSA will withhold your monthly payments in the following year until all benefits that should have been withheld are paid in full.

How much of my benefit will be withheld?

In 2025, you are allowed to earn up to \$23,400 before benefits are withheld. For every \$2 you earn above the exempt amount, \$1 dollar will be withheld. This applies to all years leading up to the year in which you attain your full retirement age. During the year you attain full retirement age the exempt amount increases to \$62,160 and for every \$3 you earn over the exempt amount \$1 will be withheld.

Even though your benefits are withheld they are not completely lost. Once you reach full retirement age, your benefits will be increased to account for the number of months that you did not receive a benefit. For example, if your full retirement age is 66 and you filed for benefits at 62 you received a reduction in benefits for taking benefits 48 months early. If 12 payments are withheld due to the earnings test, your benefits will be adjusted at your full retirement age and it will be as if you elected at age 63, or 36 months early.

WHAT IS CONSIDERED INCOME?

If you are employed by someone else, only wages are considered earned income for the purpose of the annual earnings test. For people who are self-employed, only net earnings count. It is important to note that employee contributions to pension or retirement plans are included in gross wages.

Income that is not counted as earnings include:

- Government benefits
- Investment earnings
- Interest
- Pensions
- Annuities
- Capital gains

SPECIAL RULE

For people who file for benefits mid-year and have already earned more than the exempt amount, the monthly earnings test is used. For any month during that first year that you earn under the monthly exempt amount, which is simply 1/12 of the annual exempt amount, you will receive your full benefit for that month, regardless of your earnings before you filed for benefits.

BENEFIT CUT SCENARIO

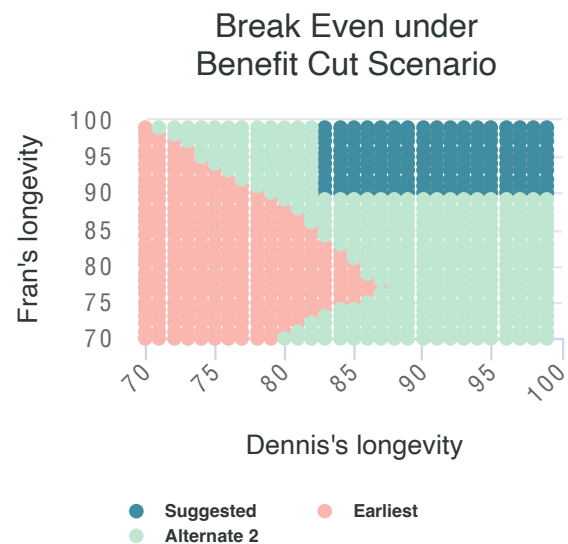
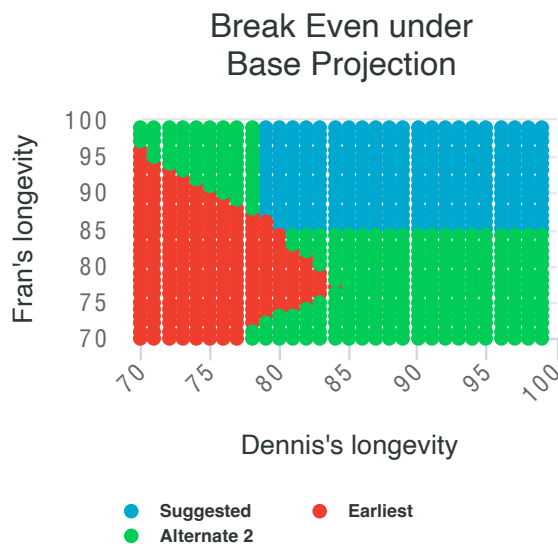
According to the most recent Social Security Trustees Report (2024) under the intermediate set of assumptions, the Social Security Trust Fund is expected to be depleted in 2033. After depletion, the system is projected to be able to pay 79% of scheduled benefits. Each year the Trustees Report projection changes based on then current revenues, expenses, and benefit payment experience.

For illustrative purposes, this analysis compares the difference in lifetime benefits received from Social Security under the base projection, which assumes that legislative changes are made allowing current benefits levels to be maintained, against a benefit cut scenario in which benefits are cut for all beneficiaries by 21% in 2033.

	Base Projection	Benefit Cut Scenario
Suggested	\$613,375	\$486,121
Second Alternate	\$602,095	\$484,917
Earliest	\$526,125	\$438,331

These projections of lifetime value assume Dennis lives to age 89 and Fran lives to age 90. If a benefit cut does ultimately materialize, most people will see a similar relationship between following a suggested Social Security strategy and claiming benefits early.

At the same time, for people who have expectations of shorter longevity, benefit cuts can present meaningful differences in the point at which delay becomes advantageous to an early claim, also known as break-even points. The following charts present the break-even points under the base projection against the benefit cut scenario:



Historically, legislation has prevented large scale benefit cuts through a combination of changes to benefits and taxation that supports benefits. Though some combination of changes may occur, stress testing your overall retirement income plan including a potential benefit cut may provide insights and allow you to prepare a contingency plan in the event a benefit cut materializes.

SOCIAL SECURITY TIMING DISCLOSURES

This report is intended as a diagnostic tool to suggest potential election options that may be beneficial. The election options considered may not be exhaustive. While substantial effort has been taken to ensure the accuracy of all calculations, we provide no guarantees. Further, this report can not anticipate future changes to the Social Security System, formulae, or claiming rules.

This report specifically excludes the following situations:

1. This report does not account for disability years. If you have years in which you received Social Security Disability benefits, the result will be inaccurate.
2. This report may incorporate Social Security's Annual Earnings Test. It does not incorporate the Monthly Earnings Test.
3. This report does not incorporate children's benefits, dependent parent's benefits, or the family maximum calculation.
4. If the entered age of death for the first member of a couple occurs before the survivor reaches age 70, the Suggested strategy assumes the survivor will elect the lower of the widow(er) benefit or the retirement benefit as soon as possible then switch to the higher benefit when it reaches its maximum monthly amount at widow(er) full retirement age for widow(er)'s benefits or at age 70 for retirement benefits. In the event this situation materializes, a full widow(er) benefit analysis should be performed as there are other potential strategies that could be considered.
5. This report does not treat Railroad or Military earnings separately. Workers who have 10+ years of Railroad earnings, or certain military service may experience inaccurate results.
6. We assume "Fully Insured" status. If you have not reached fully insured status for retirement benefits, the results will be inaccurate.

Election options also must be coordinated with your other retirement planning. The contents of this report when judged in the context of your overall financial plan may not be optimal for your circumstances, as it may cause unacceptable trade-offs with your other investment assets. Please seek the advice of your own tax, financial, and legal advisors before implementing any strategies contained in this report.

In this report, life expectancy assumptions may be manually entered, or based on Social Security mortality tables, available at www.ssa.gov/OACT/STATS/table4c6.html. Report contents and calculations provided by Social Security Timing.